



Our ref: IM-72702

Land of the Ngunnawal people
23 Marcus Clarke Street
Canberra ACT 2601
GPO Box 3131
Canberra ACT 2601
Tel 02 6243 1111
Fax 02 6243 1199
www.accc.gov.au

10 October 2024

Dear Interested Party,

Re: ACCC seeking your views: Viterra's proposed acquisition of certain Cargill assets

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of a mobile ship loader and various grain silos (the **assets**) from Cargill Australia Limited (**Cargill**) and AWB Grainflow Pty Ltd (**Grainflow**) by Viterra Operations Pty Ltd (the **proposed acquisition**).

Viterra and Cargill/Grainflow are participants in the bulk grain export supply chain. Further information on the proposed acquisition and the parties is set out in **Attachment A**.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on:

- how closely Viterra and Cargill/Grainflow compete with one another in the affected areas
- the likely impact of the proposed acquisition on prices and/or service quality (for both the acquisition of grain for export and for the storage and transport of grain from farms to ports)
- whether the proposed acquisition would be likely to give Viterra an increased ability or incentive to foreclose or hinder rival grain exporters' access to storage, transport, and/or port terminal services, and
- the implications of the long-term agreement (**LTA**) under which Cargill would have access to an agreed volume of port terminal and upcountry storage capacity from Viterra.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test the ACCC applies when assessing mergers and acquisitions is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **5pm on 24 October 2024** via email to mergers@accc.gov.au with the title: *Submission re: Viterra/Cargill*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond
General Manager
Merger Investigation

Attachment A

The proposed acquisition

Viterra Operations Pty Ltd (**Viterra Operations**) proposes to acquire various grain silos (**Grainflow Silos**), and a mobile ship loader (**Mobile Ship Loader**) (collectively, the **Assets**) (**Proposed Acquisition**).

The Mobile Ship Loader is owned by Cargill Australia Limited (**Cargill**). The Grainflow Silos are owned by a subsidiary of Cargill, AWB Grainflow Pty Ltd (**Grainflow**).

Viterra

Viterra Operations' ultimate holding company is Viterra Limited. Viterra Limited is in the process of being acquired by Bunge Limited, with completion expected this year subject to pending foreign regulatory approvals.¹ Bunge Limited is a global agribusiness and food corporation headquartered in St Louis, Missouri, in the United States.

Viterra Operations operates an integrated bulk grain export supply chain, comprising:

- a network of upcountry and at-port grain storage and handling facilities (48 in South Australia and 2 in western Victoria)
- six bulk grain export port terminals in Port Adelaide Outer Harbor, Port Adelaide Inner Harbour, Port Lincoln, Wallaroo, Port Giles and Thevenard in South Australia, and
- a logistics network providing customers with rail and road transport services to move grain through its network.

Viterra Operations does not itself acquire or export grain; however, Viterra Australia Pty Ltd (**Viterra Australia**) (which has the same ultimate holding company as Viterra Operations) does acquire, market and export grain in competition with domestic marketers and other exporters, including Cargill.

Cargill and Grainflow

Cargill's Australian operations include grain and oilseed marketing, storage and handling, oilseed processing, and vegetable oil refining. It also owns and operates a mobile ship loader at Port Adelaide Inner Harbour.

Grainflow, a subsidiary of Cargill, operates a network of 16 grain storage centres in Queensland, New South Wales, Victoria, and South Australia (with eight of these located in South Australia and western Victoria).

Cargill provide both storage and handling services (via Grainflow) and port loading terminal services.

Cargill also acquires and exports bulk grain in competition with other domestic marketers and exporters, including Viterra Australia.

¹ The Viterra/Bunge acquisition was previously assessed and not opposed by the ACCC on 21 December 2023: <https://www.accc.gov.au/public-registers/mergers-registers/public-informal-merger-reviews-register/bunge-limited-viterra-limited>.

Cargill long term agreement (LTA)

Viterra Operations and Cargill have recently signed the Cargill LTA, which will commence on 1 October 2024 and will govern the terms on which Cargill will acquire short term and long term capacity from Viterra Operations in the future.

Under the Cargill LTA, Viterra Operations has committed to supply Cargill an agreed volume of port terminal and upcountry storage capacity.

Attachment B

1. To better understand your views, please describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Viterra or Cargill/Grainflow.

Origination and marketing of grains

2. How closely do Viterra and Cargill compete in the supply of origination and marketing services for grain in South Australia and Victoria?
3. Identify and describe alternative grain exporters or traders that compete with Viterra and Cargill in origination and/or marketing of grains. Please specify the location/s in which these acquirers compete with Viterra and/or Cargill.
4. Describe the geographic area over which grain exporters and traders in South Australia and Victoria generally source grain for export and any relevant factors for this, such as transport costs.
5. Describe any barriers to a new supplier commencing, or existing supplier expanding, in the supply of origination and marketing services for grain in South Australia, including:
 - a. whether it is necessary to be able to provide any storage and logistics services and if so, the capital costs associated with providing these services
 - b. access to customers and the ease with which growers can switch suppliers for origination and marketing services or exporters can switch suppliers for storage and logistics
 - c. accreditation or regulatory requirements, and
 - d. any other relevant factors.

Bulk grain storage and handling services and port terminal services

6. Describe how customers (including both grain growers and exporters) procure:
 - a. storage and handling services for grains, and
 - b. port terminal services for grains.
7. We understand that Viterra offers 'Export Select' as a bundled logistics package. Describe whether grain (i) storage and handling services, (ii) rail or road haulage services and/or (iii) port terminal services, are commonly bundled. In your response, please explain how important it is for agribusinesses to offer several services.
8. Identify and describe alternative suppliers that compete with Viterra and/or Cargill/Grainflow, to provide:
 - a. storage and handling services, and
 - b. port terminal services.
9. Describe any barriers to a new supplier commencing, or existing supplier expanding, in the supply of storage and handling services and/or port terminal services in south-eastern South Australia and western Victoria. In relation to port terminal services, please comment on the relative importance of ownership of and/or access to mobile ship loaders.
10. Discuss whether the proposed acquisition would increase Viterra's ability and incentive to foreclose rival grain merchants (for example, limit rival grain exporters' access to storage and handling services and/or port terminal services).

11. Discuss the implications of the Cargill LTA and, in particular, Viterra's commitment of port terminal and upcountry storage capacity to Cargill.

Other information and competition issues

12. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.